

NEW ZEALAND 2016

Introduction.....	1
1. Overview of the Tax-Benefit system.....	2
2. Unemployment insurance.....	3
3. Unemployment assistance	3
4. Social assistance	7
5. Housing benefits for rented accommodation.....	8
6. Family benefits	11
7. Early childhood education and care for pre-school children	14
8. Employment-conditional benefits.....	19
9. Lone-parent benefits.....	19
10. Tax system.....	22
11. Part-time work.....	24
12. Policy developments.....	25
Social security contributions to general government	26
Social security contributions paid to institutions outside general government	26
Payroll taxes.....	26

Introduction

Tax-Benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the Tax-Benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration (although eligibility is reviewed on a regular basis and people receiving Jobseeker Support and Sole Parent Support have to reapply every 12 months). In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Working for Families Tax Credits (Family Tax Credit, In-Work Tax Credit, Parental Tax Credit and Minimum Family Tax Credit) are available to families with dependent children. Minimum Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families¹. Independent Earner Tax Credit is available to individuals who earn between NZD 24 000 and NZD 48 000 (after expenses and losses) per annum.

The tax unit is the individual but eligibility for Working for Families Tax Credits is based on combined family income (children's income is not counted except for passive income over \$500 per child²).

1.1. Average Worker wage (AW)

The 2016 AW level was NZD 57 649.

¹ Working for Families Tax Credits are administered as transfer payments paid through the tax and benefit systems. They were renamed as "Working for Families Tax Credits" in 2007. See section 12.2 for details.

² Passive income refers to income the child may receive that they have not earned through their own efforts.

2. Unemployment insurance

In New Zealand there is no compulsory unemployment insurance.

3. Unemployment assistance

Program name in local language		Jobseeker Support
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		No
Waiting period (days)		0 to 2 weeks (or 13 weeks if employment left voluntarily) ³
Maximum duration (months)		No limit (reapplication after 12 months)
Upgrading mechanism of the benefit		...
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	Flat rate
	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base	n.a.
	Permitted employment and disregards when receiving unemployment assistance benefit	For single clients and couples - disregard of NZD 80 per week 70% withdrawal rate on net unemployment benefit thereafter ⁴ For lone parents – disregard of NZD 100 per week, 30% withdrawal rate for income between NZD 100 to NZD 200 per week, 70% withdrawal rate for income over NZD 200 ⁵
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for lone parents and two-parent families (not a function of number of children)
	contract type	0
	other	0

³ There are some circumstances in which no stand down applies.

⁴ There are some grandparented clients (those receiving Domestic Purpose Benefit – Women Alone or Widow's Benefit (with no children or whose youngest child is over 14 years of age) prior to 15 July 2013) who are subject to different income disregard rules.

⁵ There is an additional \$20.00 per week income exemption for a lone parent when they have to pay childcare costs while they are working.

3.1 Conditions for receipt

A person is entitled to Jobseeker Support⁶ provided they are available and willing to undertake full time paid employment. A person must have:

- resided in New Zealand continuously for at least two years or more since becoming a New Zealand citizen or permanent resident
- be ordinarily resident in New Zealand when they first apply for benefit and generally be ordinarily resident in New Zealand
- be at least 18 years old or 19 years old if they have one or more dependent children.

They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These latter provisions are known as the “work test”. A stand down period of between zero and two weeks is applied to new applicants. The length of stand down is determined by a formula which takes account of household structure and gross income in either the 6 or 12 months prior to the date of benefit entitlement, whichever results in the shorter stand down⁷, or by a specific circumstance in which the stand down is not applied.

Striking workers and full time students are not entitled to Jobseeker Support.

3.1.1 Employment conditions

If an applicant (or their work tested partner) has left their job of their own free will, without a good and sufficient reason, or has been fired for misconduct, an ineligibility period of 13 weeks is applied from the date their employment ceased.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not the individual. Each partner of a married, civil union or de facto couple usually receives half of the total benefit but their benefit can be differently apportioned in some circumstances.

Jobseeker Support rates as at 1 April 2016	
<i>Family type</i>	<i>Gross rate (NZD per four weeks)</i>
Single 18-19 at home	626.04

⁶ New categories of Social Security Benefits took effect from 15 July 2013.

⁷ This came into effect on 2 July 2007.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

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Single 18-19 away from home	782.56
Single 20-24	782.56
Single 25 and over	939.12
Sole parent	1489.12
Married, civil union or de facto couple (with children) ⁸	1676.88
Married, civil union or de facto couple (without children)	1565.12

3.2.1.1 *Irregular additional payments*

There is a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

3.2.1.2 *Obligations of family members*

Work test obligations apply to the partners of people receiving Jobseeker Support where there are no dependent children or where the youngest child is 14 years of age or over. Where partners have a youngest child aged 3 years or over but under 14 years part-time work test obligations apply. Work preparation obligations apply to partners with a youngest child under 3 years.

There are also other obligations such as undertaking a drug test for work, working with a contracted service provider, undergoing a work ability assessment and other social obligations.

Where a couple with children have an additional dependent child while receiving a benefit, the partner's work obligations will be based on the age of the next youngest dependent child, but with work obligations deferred until the newborn reaches twelve months of age.

If the partner fails without good and sufficient reason to comply with their work test obligations, the unemployment benefit may be stopped or reduced.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Net Jobseeker Support payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples (note the different rules for grandparented clients).

For sole parents receiving Jobseeker Support, the net payments are abated at a rate of 30 cents for each dollar after NZD 100 gross weekly earnings before tax, and a rate of 70 cents for each dollar after NZD 200 gross weekly earnings (note the childcare cost exemption mentioned above).

There is no specific disregard for new jobs. Income is charged consistently.

⁸ From 1 April 2016, rates increased an extra NZD 25 for families with children, across all benefits.

3.3 Tax treatment of benefit and interaction with other benefits

Jobseeker Support is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 Benefit duration and waiting periods

People receiving Jobseeker Support are required to re-apply for the benefit every 12 months and undergo a comprehensive work assessment at the time of re-application.

The benefit continues until a recipient is in full-time employment or receives income that fully abates the benefit.

3.5 Treatment of particular groups

3.5.1 Young persons

There is no unemployment assistance for people under 18 years old (19 years old if they have dependent children). Unemployed 16 and 17 year olds who have lost the support of or are financially independent of their parents may be entitled to a Youth Payment. Young persons aged 16 to 19 years with their own dependent children may be eligible for a Young Parent Payment.

16 to 19 year old partners have youth obligations.

3.5.2 Older workers

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 Others if applicable, including disabled

There are a range of work test exemptions that can be applied. For example a client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers are exempt from their work test obligations from the beginning of the 27th week of pregnancy but can be exempt earlier if there are pregnancy complications or they have an illness or disability aside from pregnancy.

A person who is sick, injured or disabled may be eligible to receive a Supported Living Payment or Jobseeker Support. Supported Living Payment is not work tested. People on Jobseeker Support with a health condition, injury or disability have their work obligations deferred while they are unable to work full-time. If they have the capacity to work part-time⁹, they may be required to meet a part-time work test.

Unemployed sole parents may be entitled to Sole Parent Support if their youngest child is aged under 14 years old. The obligations are the same as those for Jobseeker Support (see section 9).

⁹ Part-time work is defined in the Social Security Act 1964 as work that averages not less than 15 hours a week when calculated over a period of the preceding three months. Full-time work is defined as work of no less than an average of 30 hours a week. Sole parents with part-time work obligations are now expected to find work averaging 20 hours a week since 1 April 2016, with some discretion possible.

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4. Social assistance

None.

5. Housing benefits for rented accommodation

Regular housing benefits	Program name in local language		Accommodation Supplement
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving another benefit to qualify for Accommodation Supplement. Benefit provides for 70% of accommodation costs above the entry threshold, which depends on the net unemployment benefit they are or would be entitled to, up to a maximum amount which depends on household size and region. The benefit is withdrawn at a rate of 25% of gross income above a threshold for non-beneficiary recipients.
	Up-rating mechanism of the benefit		...
Housing related support through other benefits		Temporary Additional Support has an accommodation costs component Income-related Rent Subsidy is available for those in social housing (see 5.4) Financial support is available for those who require emergency housing.	

5.1 Conditions for receipt

There is no continuous residency period requirement. A person must still be ordinarily resident in New Zealand and either be a New Zealand citizen or hold a residence class visa. Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

5.2.1 Calculation of gross benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the under 16 year old first child rate of Family Tax Credit for people with children.
- For non-beneficiaries, the entry threshold is 25 per cent of the relevant net Jobseeker Support rate (30 per cent if they own their own home) plus the under 16 year old first child rate of Family Tax Credit for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2016 (NZD)				
<i>Family type</i>	<i>Area 1</i>	<i>Area 2</i>	<i>Area 3</i>	<i>Area 4</i>
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

*Note there was no change to the weekly maxima between 2015/16

5.2.2 *Income and earnings disregards*

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for non-beneficiaries as at 1 April 2016	
<i>Family Type</i>	<i>NZD per four weeks</i>
Single 16 + years	1524
Married, civil union or de facto couple without children	2324
Married, civil union or de facto couple with children	2464
Sole parent	2184

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

* Note: there has been no change to the cash asset test for AS.

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.2.3 *Costs eligible for housing benefits*

Rent, board and home ownership costs are all eligible costs for housing benefits. Home ownership costs can include, for example, mortgage payments, rates including water rates, home and mortgage protection insurance and essential repairs and maintenance. When a person pays board, 62% of their total payment is considered to be their accommodation cost.

There is also a number of Housing Support Products that are available (individual products that aim to address barriers to accessing or retaining housing by meeting needs not covered by other forms of assistance).

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent. A client who pays board to someone to live in a social housing property may be able to receive an Accommodation Supplement based on their board costs.

5.4.1 *Young persons*

Young people aged 16-17 years are eligible to receive an Accommodation Supplement if they are financially independent.

5.4.2 *Older workers*

People receiving New Zealand Superannuation or Veterans Pension cannot receive an Accommodation Supplement if they have other income exceeding the appropriate income limit.

5.4.3 *Others if applicable, including disabled*

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for a Student Allowance. Sole parent students studying full-time are eligible to receive the same rate of Accommodation Benefit as sole parents on a main benefit.

6. Family benefits

Program name (local name in parentheses if available)			Family tax credit
Type of benefit			Non-wastable tax credit
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		(18)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No
Up-rating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	+
		Number of children	+ for second, ++ from third child on
	Earnings disregard		n.a.
	Withdrawal rate		22.5% for every NZD above NZD 36350 as at 1 April 2016
	Assets part of means test?		...

6.1 Conditions for receipt

Family Tax Credit is available to families with dependent children. Work and Income can pay a family tax credit to the client provided they are a Principal Child Caregiver who has a dependent child or children.

- Beneficiary families are paid Family Tax Credit weekly or fortnightly with their benefit, but can choose to receive it from the Inland Revenue Department directly.
- Family Tax Credit is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly, (with an end of year “square up”) or in one lump sum at the end of the tax year.

Non-beneficiary families may also be entitled to other Working for Families Tax Credits (see section 10.1.1.2 below).

6.2 Calculation of benefit amount

Family Tax Credit rates depend on the number of children, the age of the children and family income.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.2.1 *Calculation of gross benefit*

Gross Family Tax Credit rates as at 1 April 2016 (NZD per four weeks)	
<i>Family Type</i>	<i>NZD per four weeks</i>
First or only child aged 0-15 years	370.92
First or only child aged 16-18 years	407.92
Second or subsequent child aged 0-12 years	257.76
Second or subsequent child aged 13-15 years	294.00
Second or subsequent child aged 16-18 years	365.00

Note: the Family Tax Credit rates did not increase in April 2016.

6.2.1.1 *Irregular additional payments*

None.

6.2.2 *Income and earnings disregards*

Each dollar of gross income in excess of NZD 36,350 reduces Family Tax Credit by 22.5 cents¹⁰.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable, including disabled*

None.

¹⁰ This rate came into effect on 1 April 2012.

Reference date for all information is **July 1st 2016 unless otherwise stated.**
Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7. Early childhood education and care for pre-school children

As at 1 July 2015 there were an estimated 200,000 attendances and enrolments in licensed early childhood education (ECE) services, with 119,000 of these in the 3-4 years age group.¹¹

Schooling is compulsory at the age of six in New Zealand, although the majority of children start school immediately after their fifth birthday (around 2,000 or 1% of all ECE enrolments are for five year-olds).

From 1 July 2007 all three and four year old children enrolled in early childhood education services offering 20 Hours ECE were able to attend services for up to six hours a day, and up to 20 hours a week, at no charge.¹² From July 2010, this was extended to include five year olds. Early childhood education services include teacher-led early childhood education services, and parent-led early childhood education services such as kohanga reo and playcentres. Government provides funding to services for 20 hours ECE at a level designed to meet average sector costs. Services opting into this scheme are not permitted to request compulsory charges from parents, but may request optional charges or donations especially where they offer additional features above and beyond the regulated requirements for ECE provision. Services can charge fees to parents for children enrolled outside of the 20 hours ECE programme, including those aged under 3, or enrolled for more than 20 hours a week.

Another funding stream available is equity funding which provides additional targeted funding to some early childhood education services. Equity funding is an 'add-on' to the early childhood bulk funding subsidy. It is targeted to licensed early childhood education services:

- in low socio-economic communities
- that may have significant numbers of children with special education needs or from non-English speaking backgrounds
- in isolated areas
- that are based on a language and culture other than English (including sign language).

The objectives of equity funding are to:

- reduce educational disparities between different groups in New Zealand communities
- reduce barriers to participation faced by those groups that are underrepresented in early childhood services
- support early childhood services to raise their level of educational achievement.

In addition to 20 Hours and Equity funding, the Government provides the ECE Funding subsidy. The ECE Funding Subsidy is the primary form of government funding for licensed ECE services. The ECE Funding Subsidy contributes to services' operating costs by paying for part of each hour each child spends in ECE, to a maximum of six hours per child-place per day, 30 hours per child-place per week (i.e. seven days).

For more information on ECE funding see the Funding Handbook;

<http://www.education.govt.nz/early-childhood/running-an-ece-service/funding/ece-funding-handbook/>

¹¹ Source: <https://www.educationcounts.govt.nz/statistics/early-childhood-education/participation>. In 2014, the method for data collection changed, using the Ministry of Education's new electronic collection tool. Around 75% of services in 2015 used the tool and for those services, the data shows actual attendance rather than enrolments.

¹² Parents can be asked to pay optional charges for hours claimed as 20 Hours ECE.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7.1 Out-of-pocket early childhood education and care fees paid by parents

Full-time early childhood education and care

Government provides universal funding of between NZD 3.38 and NZD 13.41¹³ per hour per child to assist with the cost of early childhood education and care. The payment is made by the Ministry of Education direct to the provider of the service and varies according to the age of the child (under 2 or 2 and over), the type of service, and the proportion of regulated teaching staff who are ECE qualified and registered.

A 2013 survey of ECE providers estimated the average fees per hour by service type and age of child, in comparison to the last survey done in 2011.

Service Type	2011		2013	
	Zero to One years old	Two to Five years old	Zero to One years old	Two to Five years old
Education and Care	\$5.55	\$5.25	\$5.80	\$5.50
Kindergarten	N/A	\$3.15	N/A	\$3.60
Home-based	\$5.75	\$5.75	\$5.60	\$5.55
Playcentre	\$0.35	\$0.45	\$0.45	\$0.50

Sources: 2013 Survey of Income, Expenditure and Fees of Early Childhood Education Providers in New Zealand (2015).

Average fees for education and care and home-based services were similar at \$5.50 to \$5.55 for two to five year olds and \$5.60 to \$5.80 for zero to one year olds. For education and care services this was 4-5% higher than in 2011. Kindergarten fees were on average \$3.60, for children not enrolled in 20 Hours ECE. Playcentre fees were much lower at an average of \$0.50 per hour.

All service types get the majority of their funding from the government. This ranges from home-based with 58% of funding from the government to kōhanga reo with 93% of funding from the government and has not changed from 2011. Most other income comes from parents, though for playcentres 17% of income comes from other sources (such as private grants and fundraising) compared to 6% of income from parents.¹⁴

Distribution of income sources:

	Government	Parents	Other
Education and Care	75%	22%	3%

¹³Source: ECE: Funding handbook: Appendix one. <http://www.education.govt.nz/early-childhood/running-an-ece-service/funding/ece-funding-handbook/>

¹⁴Ministry of Education (2015), 2013 *Income, Expenditure and Fees of Early Childhood Education Providers in New Zealand* <http://www.educationcounts.govt.nz/publications/ECE/income-expenditure-and-fees-of-ece-providers-in-new-zealand>

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Kindergartens	90%	4%	5%
Home-based	58%	42%	<1%
Playcentres	77%	6%	17%
Kōhanga reo	93%	4%	3%

Source: 2013 Survey of Income, Expenditure and Fees of Early Childhood Education Providers in New Zealand (2015).

Part-time early childhood education and care

The fee subsidy is paid on an hourly basis, eligibility does not change if childcare is used on a part-time basis.

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled to a Childcare Subsidy of up to 9 hours per week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities. The payment is made to the provider of the service on behalf of the parent.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2016.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2016 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than 800	5.00
	800- 1,199.99	4.00
	1,200 - 1,299.99	2.79
	1,300 - 1,399.99	1.55
	1,400 or more	Nil
2	Less than 920	5.00
	920 to 1, 379.99	4.00
	1,380 - 1,489.99	2.79

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	1,490 - 1,599.99	1.55
	1, 600 or more	Nil
3 or more	Less than 1030	5.00
	1030 - 1,539.99	4.00
	1,540 – 1,669.99	2.79
	1,670 – 1,799	1.55
	1 ,800 or more	Nil

7.2.2.2 *Income and earnings disregards*

Benefits are reduced according to gross income (see section 7.2.2.1).

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

7.2.4 *Treatment of particular groups, including disabled*

OSCAR (Out of School Care and Recreational Subsidy) is a non-taxable payment that aims to assist low income caregivers to enter and remain in employment.

Guaranteed Childcare Assistance Payment (GCAP) provides financial assistance with childcare costs to enable young parents who are:

- receiving a main benefit to meet their youth activity obligations or
- not receiving a main benefit to return to, or remain in, secondary education.

Early Learning Payment is delivered through a programme that pays the costs of Early Childhood Education for children aged 18 months to three years. The purpose of the Early Learning Payment is to provide earlier access to Early Childhood Education for families with specific needs.

7.3 **Child care allowance for children not using child care centres**

Childcare subsidy is only paid if the child is attending an approved early childhood programme. An early childhood programme¹⁵ means early childhood education provided by any of the following:

- A licensed early childhood service which includes:
 - early childhood education and care centres (e.g. day care centre, kohanga reo, Playcentre kindergarten)
 - home-based education and care service (e.g. Porse, Barnados)

¹⁵ www.education.govt.nz

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- hospital-based education and care service
- A playgroup that has been certified by the Ministry of Education (this means a playgroup is funded by the Ministry of Education and will meet certain standards)

And

- For which a fee is charged for the children to participate in the programme.

The childcare subsidy is **not** payable for childcare provided informally (for example through friends or family who are not licensed to provide home-based education and care service) or a childhood centre or service that is not approved and licensed.

The rules around the provision of the subsidy and the rates that are paid are the same for any of the above mentioned providers as outlined in 7.2.1 above.

8. Employment-conditional benefits

In-Work Tax Credit, Minimum Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Tax Credit and Minimum Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

Program name (local name in parentheses if available)			Sole Parent Support
Type of benefit			Targeted (similar to unemployment benefit but different earnings disregard)
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		18 ¹⁶
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		If youngest dependent child 14 or older, parent has full time work obligations and begins receiving Jobseeker Support.
Up-rating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	0
	Earnings disregard		Childcare cost exemption of NZD 20 a week
	Withdrawal rate		30% between NZD100/week and NZD200/week, 70% with higher income
	Assets part of means test?		No

9.1 Conditions for receipt

Sole parents 19 years or older may qualify for Sole Parent Support if they are the primary carer for a qualifying dependent child (the youngest of whom must be under 14 years old). The residency requirements are the same for those receiving Jobseeker Support (see 3.1).

¹⁶ Where the child is 18 and attending school or a tertiary institution, they can continue to be included in the benefit until the end of the schoolyear in which they turn 18.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Sole Parent Support recipients with a youngest dependent child aged three to 13 years have to meet a part-time work test. To meet the part-time work test obligations the sole parent must make themselves available for suitable work, training or other activities for at least 20 hours a week.

If a sole parent has an additional dependent child while receiving a benefit their work obligations are based upon the age of their next youngest child, with a deferral of obligations until their newborn reaches twelve months of age.

Sole Parent Support recipients with a youngest child under five participate in work preparation obligation which includes a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Sole Parent Support, other benefits (Jobseeker Support and Supported Living Payment) can also be paid at a sole parent rate. Sole Parent Support recipients also have social obligations, such as registering with a general practitioner or medical practice and enrolling their child in school.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2016 the weekly gross rate of the Sole Parent Support was NZD 372.28.

9.2.1.1 Irregular additional payments

As mentioned in 3.2.1.1 there are a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

9.2.2 Income and earnings disregards

The net rate of Sole Parent Support is abated by 30 cents for each dollar of weekly earnings between NZD 100 and NZD 200. Earnings above NZD 200 per week abate the benefit by 70 cents for each dollar earned. There is also a childcare cost exemption of NZD 20 per week.

9.3 Tax treatment of benefit and interaction with other benefits

The Sole Parent Support is taxable.

9.4 Benefit duration

Sole parents lose eligibility for Sole Parent Support when their youngest dependent child turns 14, at that time they are automatically transferred onto Jobseeker Support (with associated work obligations – 3.1 refers). Eligibility is also lost if any income fully abates the benefit.

9.5 Treatment of particular groups

9.5.1 Young persons

Some 16 to 19 year old sole parents may be eligible for Young Parent Payment.

9.5.2 Older workers

None.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.5.3 *Others if applicable, including disabled*

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

None.

10.1.1.2 Standard tax credits

Independent Earner Tax Credit

Independent Earner Tax Credit is available to individuals who earn between NZD 24 000 and NZD 48 000 (after expenses and losses) per annum.

If your income is between NZD 24 000 and 44 000 – you receive NZD 10 per week (NZD 520 a year).

If your income is between NZD 44 001 and 48 000 – your entitlement reduces by 13 cents for every dollar you earn over NZD 44 000.

You cannot get Independent Earner Tax Credit if you:

- Receive Working for Families Tax Credits (as below)
- An income-tested benefit
- Veteran's Pension or New Zealand Superannuation

Family Tax Credit

See section 6.

In-Work Tax Credit

In-Work Tax Credit is available to non-beneficiary families who normally work a minimum number of hours each week.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.

In-Work Tax Credit is up to NZD 72.50 per week for families with up to three children, increasing by NZD 15 for each additional child after the third. Eligibility for In-Work Tax Credit also depends on family income.

Families receiving the following government transfers can still qualify for In-Work Tax Credit provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster care allowance, orphan's or unsupported child's benefit
- accident compensation for incapacity provided the person normally worked the required hours each week prior to their injury and had an accident after 1 January 2006.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

Minimum Family Tax Credit

Minimum Family Tax Credit is available to working non-beneficiary families.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.
- Self-employed people are not eligible.

The Minimum Family Tax Credit was increased in April 2016. It ensures a minimum net income of NZD 457 per week (including ACC deduction, NZD 23 764 per annum) before Family Tax Credit and In-Work Tax Credit are included.

Parental Tax Credit

Families may be entitled to a Parental Tax Credit of NZD 220 per week for the first ten weeks after their baby is born or adopted. They cannot receive a Parental Tax Credit if they are receiving Paid Parental Leave.

10.1.2 Income tax schedule (central government income tax)

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2016 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0 – 14,000	10.5
14,001 – 48,000	17.5
48,001 – 70,000	30.0
over 70,000	33.0

10.1.3 State and local income taxes

New Zealand has no state or local income tax.

10.2 Treatment of family income

Family members are taxed as individuals.

10.3 Social security contributions and payroll taxes

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 1.39% of their gross earnings up to a threshold of NZD 122 063 in 2016-17. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 0.80%).

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4 Treatment of particular groups

10.4.1 Young persons

None.

10.4.2 Older workers

None.

10.4.3 Others if applicable

None.

11. Part-time work

11.1 Special benefit rules for part-time work

People must be working less than an average of 30 hours per week to be eligible for Jobseeker Support.¹⁷

11.2 Special tax and social security contribution rules for part-time work

None.

¹⁷ The following clients receiving Jobseeker Support are able to work full-time for a temporary period provided their income, when assessed over a 52 week period, does not fully reduce their benefit:
a sole parent, including a person:

- with a dependent child whose partner is in prison or;
- who is paid the sole parent rate where their partner is unlawfully or temporarily resident or present in New Zealand;
- a grand-parented client (that is, they received Domestic Purposes Benefit - Women Alone or Widows Benefit without children or with children over the age of 14 years prior to 15 July 2013).

12. Policy developments

12.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

In 2015, the Government agreed to a package for children in material hardship. The following main components were implemented from 1 April 2016:

- an increase of NZD 25 per week (after tax) in benefit rates for families with children
- a NZD 12.50 per week increase in the NZD 60 base rate of the In Work Tax Credit
- an increase in the abatement rate for Working for Families tax credits of 1.25 percentage points, to 22.5%,
- increases to childcare assistance through a higher assistance rate for families on the lowest incomes
- an expansion of work availability obligations for beneficiary parents, by:
 - lowering the age of youngest child point for starting beneficiaries part time work search from five to three years
 - changing the hours of part-time work sought from 15 to 20 hours a week (while retaining discretion around the exact hours required) introducing a requirement for Sole Parent Support recipients to reapply for the benefit and reconfirm eligibility on an annual basis.

12.2 Policy changes introduced since 1st July 2016

The Youth Service (which involves Youth Payment and Young Parent Payment) was extended on 26 October 2016 to allow the Youth Service to be offered to 19 year-old parents (see 3.5.1). This also increased the eligibility age for parents with dependent children for Jobseeker Support and Sole Parent Support from 19 years to 20 years.

12.2 Future policy changes announced but not yet implemented

- The Government will be introducing its Families Package in 2018. The Families Package is designed to provide targeted social assistance to improve incomes for low and middle incomes families and ensure children get the best start in life. The package includes the following changes: Increase the rate of the Family Tax Credit and raise the abatement threshold to NZD 42,700 with an abatement rate increase to 25%
- Increase the Minimum Family Tax Credit threshold to NZD 26,156
- Replace the Parental Tax Credit with Best Start, a payment of NZD 3,120 per year (or NZD 60 per week) for all families in a child's first year, and for up to the child turns three for families earning under NZD 79,000
- Introduce a Winter Energy Payment of NZD 450 per year for individuals or NZD 700 for couples or those with dependent children for all beneficiaries and superannuitants
- Increase the maximum payment available for Accommodation Supplement

Changes to the Accommodation Supplement and the Minimum Family Tax Credit will occur from 1 April 2018, with the rest implemented on 1 July 2018

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, inter alia, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and can be withdrawn under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.